

may evolve further as the Committee conducts further work. One area in particular where more work on monitoring tools will be conducted relates to intraday liquidity risk.

(a) Contractual maturity mismatch: To gain an understanding of the basic aspects of a bank's liquidity needs, banks should frequently conduct a contractual maturity mismatch assessment. This metric provides an initial, simple baseline of contractual commitments and is useful in comparing liquidity risk profiles across institutions, and to highlight to both banks and supervisors when potential liquidity needs could arise.

(b) Concentration of funding: This metric involves analysing concentrations of wholesale funding provided by specific counterparties, instruments and currencies. A metric covering concentrations of wholesale funding assists supervisors in assessing the extent to which funding liquidity risks could occur in the event that one or more of the funding sources are withdrawn.

(c) Available unencumbered assets: This metric measures the amount of unencumbered assets a bank has which could potentially be used as collateral for secured funding either in the market or at standing central bank facilities. This should make banks (and supervisors) more aware of their potential capacity to raise additional secured funds, keeping in mind that in a stressed situation this ability may decrease.

(d) LCR by currency: In recognition that foreign exchange risk is a component of liquidity risk, the LCR should also be assessed in each significant currency, in order to monitor and manage the overall level and trend of currency exposure at a bank.

(e) Market-related monitoring tools: In order to have a source of instantaneous data on potential liquidity difficulties, useful data to monitor includes market-wide data on asset prices and liquidity, institution-related information such as credit default swap (CDS) spreads and equity prices, and additional institution-specific information related to the ability of the institution to fund itself in various wholesale funding markets and the price at which it can do so.

C. Transitional arrangements

44. The Committee is introducing transitional arrangements to implement the new standards that help ensure that the banking sector can meet the higher capital standards through reasonable earnings retention and capital raising, while still supporting lending to the economy. The transitional arrangements are described in the Basel III liquidity rules text document and summarised in Annex 4 of this document.

45. After an observation period beginning in 2011, the LCR will be introduced on 1 January 2015. The NSFR will move to a minimum standard by 1 January 2018. The Committee will put in place rigorous reporting processes to monitor the ratios during the transition period and will continue to review the implications of these standards for financial markets, credit extension and economic growth, addressing unintended consequences as necessary.

46. Both the LCR and the NSFR will be subject to an observation period and will include a review clause to address any unintended consequences.

D. Scope of application

47. The application of the minimum capital requirements in this document follow the existing scope of application set out in Part I (Scope of Application) of the Basel II Framework.⁸

⁸ See BCBS, *International Convergence of Capital Measurement and Capital Standards*, June 2006 (hereinafter referred to as “Basel II” or “Basel II Framework”).